Indian Case Challenge 2026

ORGANISED BY- BUSINESS CLUB, IIT KHARAGPUR'S

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ATHER

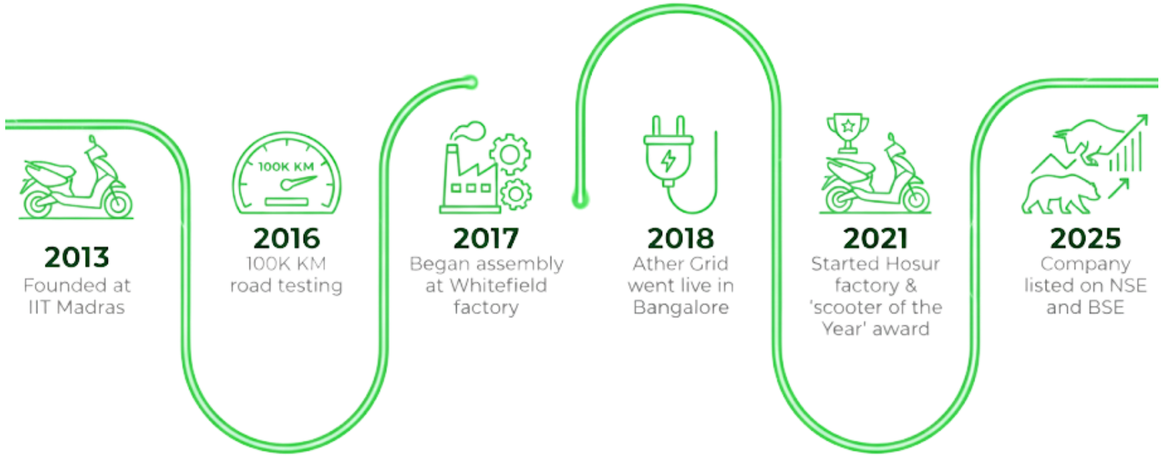
CHARGING AHEAD

Ather's Path to Profitable Leadership in India's EV Revolution

ATHER INTRODUCTION

- Early entrant in India’s electric two-wheeler (E2W) market
- Differentiated through strong focus on technology, performance, and connectivity
- Built strong traction in urban markets and shaped early consumer expectations
- Faces intense competition from new EV startups and legacy ICE players entering E2Ws
- Growing financial pressure and rising debt are challenging its growth momentum

ATHER’S JOURNEY



Demand Drivers & Policy

Lower running costs, environmental concerns, fleet adoption, and government subsidies are accelerating the shift toward electric two-wheelers.

Market Size & Growth

India’s E2W market is growing fast but remains early-stage, expanding from metro adopters to mass users like gig and delivery riders.



MARKET OVERVIEW & COMPETITIVE LANDSCAPE

Key Market Highlights

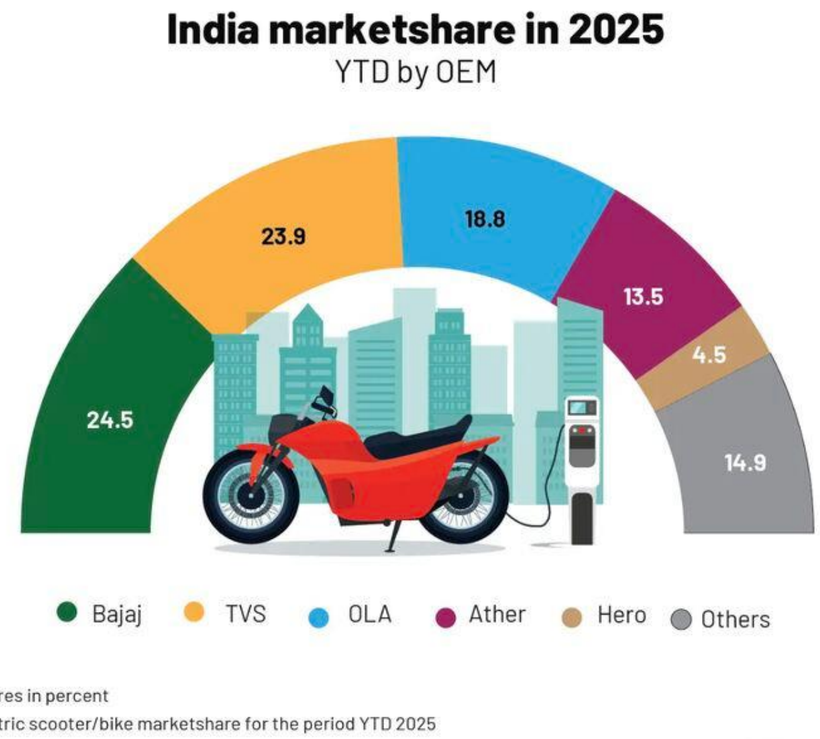
- Market Size (Jan-Nov 2025): ~1.18 million units registered
- Penetration: EVs now ~8-9% of total 2W market

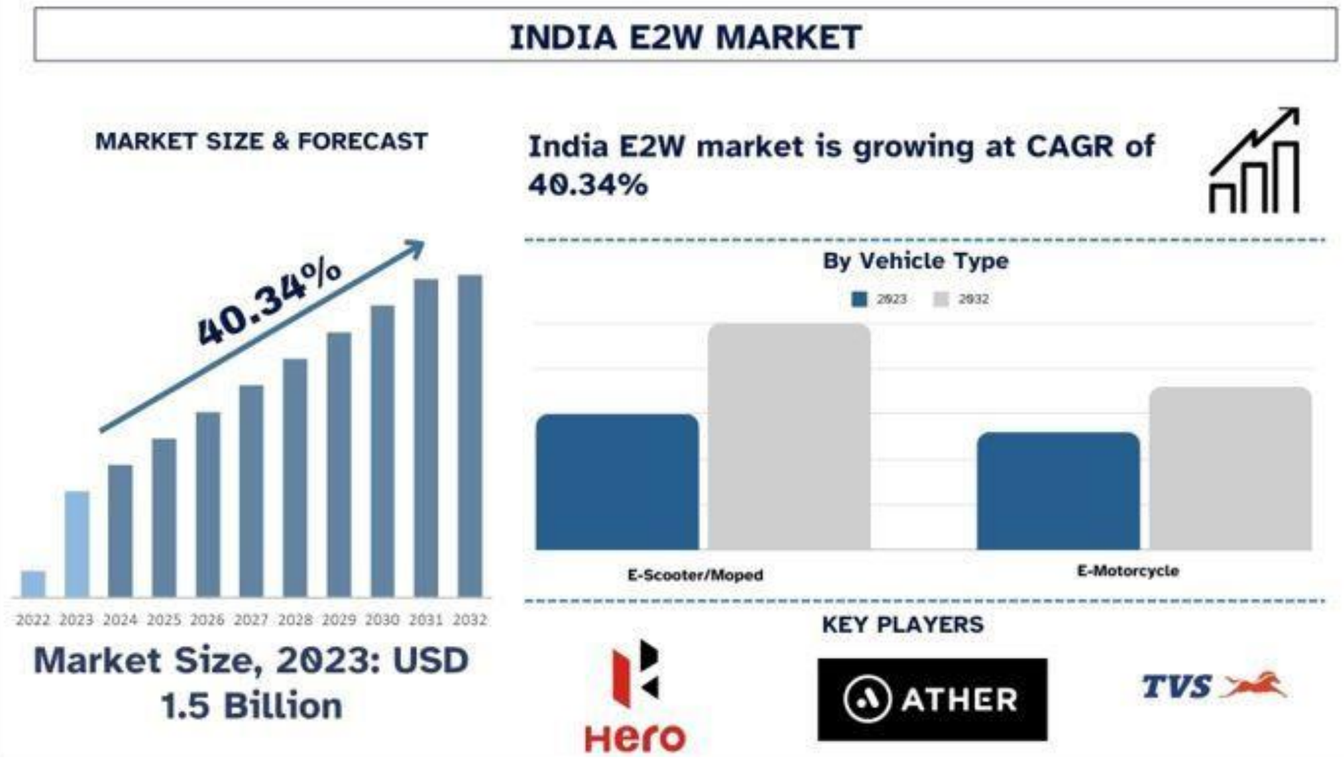
Challenges:

- Price sensitivity in mass market
- Public/shared charging growth reducing proprietary network advantage

Market Structure (Jan-Nov 2025 Cumulative):

- Highly consolidated: Top 4 players control ~76% share
- Legacy OEMs (TVS + Bajaj) dominate with scale, distribution & cost advantages
- Pure-play EV startups (Ola, Ather) facing pressure but Ather gaining ground





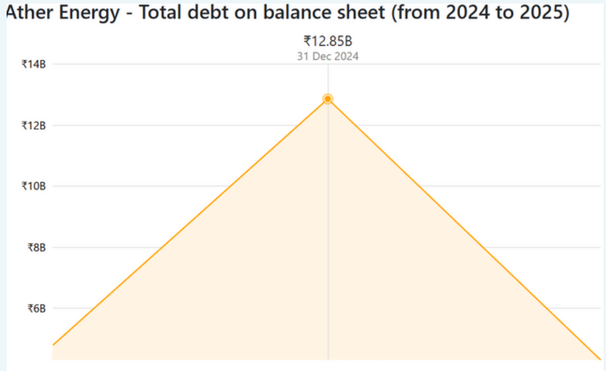
FINANCE SNAPSHOT

IPO



- Stock has risen steadily since listing, moving from around ₹300 levels to ~₹700.
- Indicates positive investor sentiment despite losses.
- Market is betting on future growth and improving unit economics.

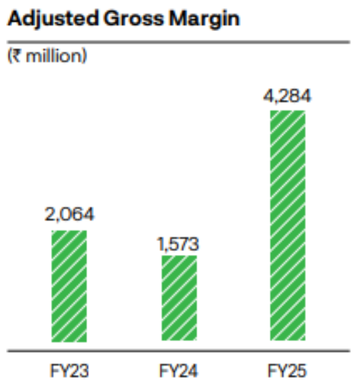
Debt

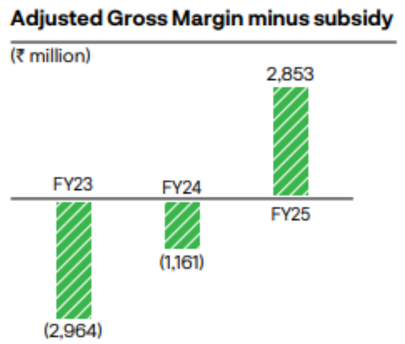


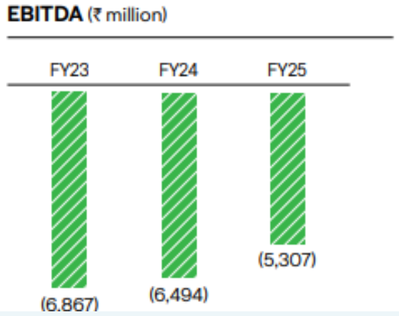
- Total debt peaked at ~₹12.85 billion (Dec 2024).
- Debt reduced sharply by 2025, showing balance-sheet cleanup.
- Lower debt eases interest burden and financial risk.

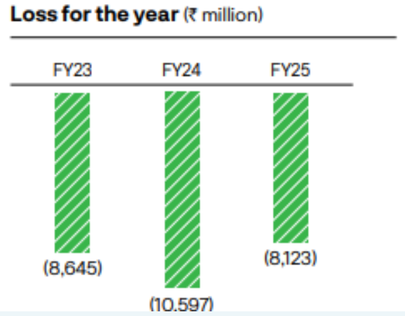
FINANCIAL SUMMARY

- Adjusted gross margin: Improved sharply in FY25.
- Margin without subsidy: Turned positive in FY25 → less subsidy dependence.
- EBITDA loss: Reduced in FY25 → better cost control.
- Net loss: Lower than FY24 → moving toward break-even.









Unit Economics

- Gross margin: ~9% (FY24) → low, showing limited buffer between cost and selling price.
- Capacity utilisation: ~29% of 4.2 lakh units → high fixed cost per scooter.
- Revenue trend: +29% YoY in FY25 → volumes improving, better operating leverage.
- Losses: Narrowed to ~₹812 crore (FY25) → unit economics slowly improving.
- Cost structure: Higher R&D + premium components + quality focus → higher per-unit cost.
- Pricing: Premium positioning → stronger price realisation, but limits mass volumes.

SOLUTION: 1

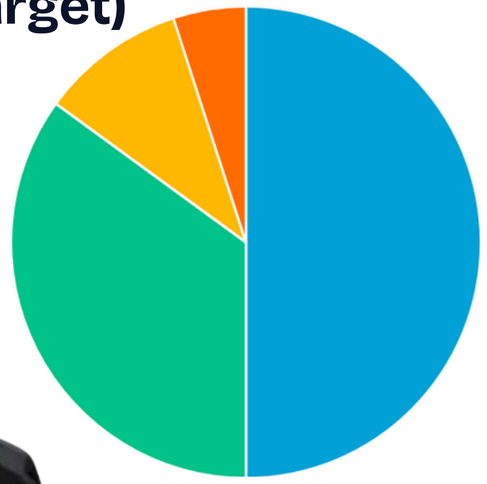
Ideal Product Mix & Portfolio Strategy

Current Portfolio Snapshot

- **Premium (450 Series):** High-performance, tech-focused (450X, Apex) → High margins, brand anchor
- **Family (Rizta Series):** Practical, spacious → Volume driver since launch
- **Upcoming:** EL platform entry models (2026) → Cost-optimized for broader reach

Recommended Mix (FY27 Target)

- 50% Premium (450 variants) → Retain high ASP & margins
- 35% Family/Mid (Rizta + variants) → Core growth engine
- 10% Entry/Mass (EL-based) → Address price-sensitive users
- 5% Fleet-Specific → Dedicated B2B variants (rugged, subscription-ready)



Non-Vehicle Revenue Target: Increase to 15-20% of total

- Accessories (helmets, chargers, Halo smart gear)
- Services (AtherStack Pro subscriptions, extended warranty, Connect+)

Key Rationale

- Premium anchors brand & profitability
- Rizta/EL drives scale to absorb fixed costs
- Fleet entry enables stable bulk orders without full dilution
- Supports 300K+ units & EBITDA positivity by FY28





Capital Allocation Priorities

Prioritizing for Scale, Cost Reduction & Profitability

Allocation Framework

- Focus on high-ROI areas that drive volume (to absorb fixed costs), improve unit economics, and maintain differentiation
- Post-IPO capital (~₹2,626 Cr fresh + debt repayment) + future cash flows must be disciplined
- De-prioritize diminishing proprietary advantages

1. Manufacturing Capacity Expansion (Highest Priority) → Complete Maharashtra plant (₹927 Cr planned) for 500K+ annual capacity → Enables scale → lower per-unit costs → faster path to breakeven
2. Scooter R&D (New Platforms & Variants) → Accelerate EL platform for affordable family/fleet models → Balance premium innovation with cost-optimized mass-market entries
3. Deeper Supply-Chain Integration → Batteries, motors, power electronics → vertical integration for cost control & quality
4. AtherStack Pro & Software Development → Monetize via subscriptions (Pro Pack+) & data features → high-margin recurring revenue
5. Selective Geographic Expansion → Deepen South/Middle India via Experience Centre's; avoid broad capex-heavy North push





SOLUTION: 2

Geographic Expansion Strategy: North vs South India

South India as a Core Market

- Strong brand presence.
- Higher EV adoption.
- Dense charging & service network.
- Lower customer acquisition cost.

Action:

Deepen Penetrations & Improve Profitability

~60% of Ather's experience centers are in South

Decision Logic

Capital efficiency

Risk Control

Faster path to profitability

South India — Low Risk | High Return

North India — Short Term

Growth should follow proven demand

Like TVS/Bajaj- Ather should focus on Dealer expansion

North & Central India -

- Lower current market share
- Higher price sensitivity
- High retail expansion costs

Entry mode:

- Fleet& Corporate Partnership
- Retail expansion later

Why not aggressive retail now?

- High CAC + Price sensitive customers

Focus on **South India** for near term profits; enter **North & Central India** through asset-light, fleet led expansion before scaling retail.

2026-27 South India → **2027-28** North India → **2028+---->** Selective Retail

Takeaway: "Deepen where we win, test where we don't - before committing capital."

SOLUTION: 2

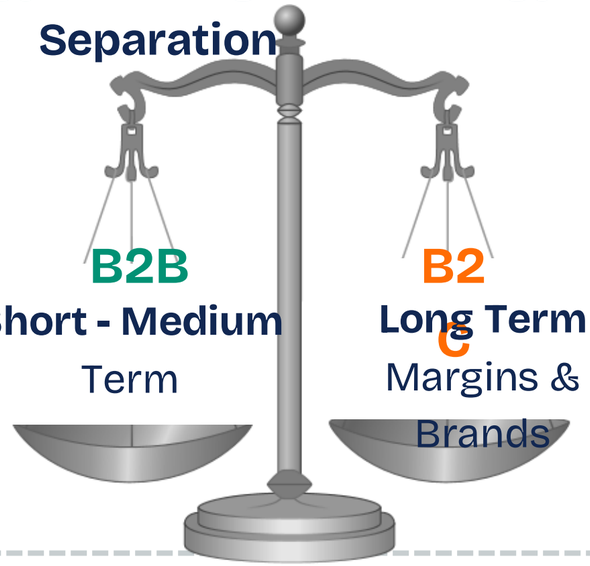
Segment Strategy: Consumer vs Fleet Market

Recommended Strategy: Dual -Segment Strategy with **Clear Separation**

Consumers (B2C)

- Urban families & professional (25-45 years).
- Higher margins are due to premium pricing & long- term subscriptions.
- Brand Loyalty (quality AtherStack software subscription potential)

Maintain premium consumer offering



Fleet offerings should

be separately branded to avoid premium brand dilution

Fleet Market (B2B)

- Rising demand from delivery, quick commerce, gig workers.
- Bulk orders + predictable cash flows (better factory utilisation).
- Fleet- only scooter variant.

Offer fleet-focused
leasing, subscription &service contacts

Balance scale, not brand: Serve fleets for volume and stability, retain consumers for margin and loyalty.

Takeaway: " Use fleets to stabilise cash flows, consumers to build long- term vale."

FLEET MARKET & SUBSCRIPTION MODEL

Use fleet Customers to achieve stable cash flows and capacity utilisation hile protecting Ather's premium consumer brand.

Fleet Customer Demand

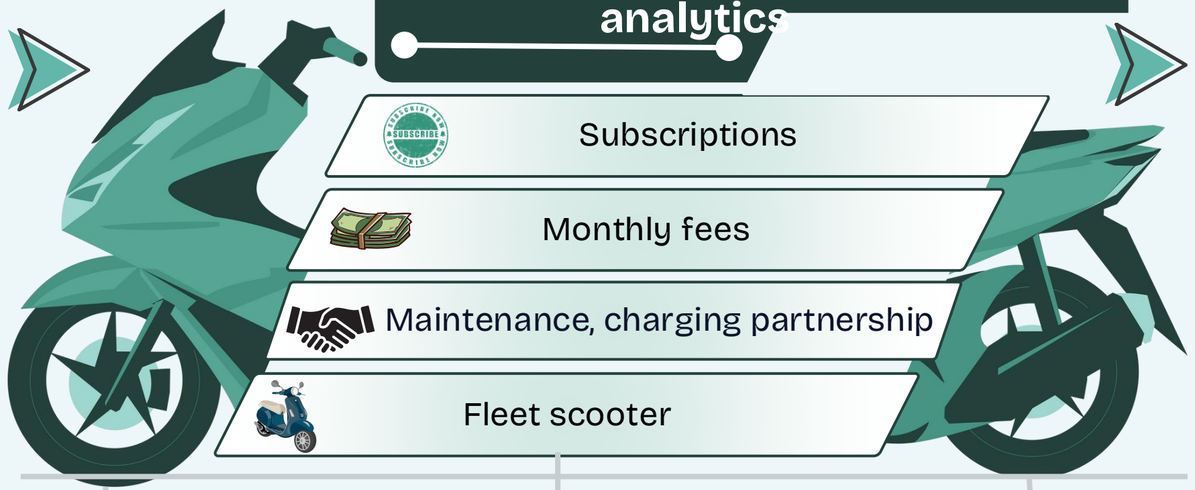
- Quick Commerce
- Logistics
- Corporate Fleets
- Government fleets

High Volume | Price-sensitive

Predictable demand

Fleet Dashboard

- Predictive maintenance
- Rider analytics



- Subscriptions
- Monthly fees
- Maintenance, charging partnership
- Fleet scooter

Value created

- Lower downtime
- Better Utilization
- Recurring revenue
- Higher factory usage

Delivery fleets clock 3-4 x daily usage vs consumers

Subscriptions improve revenue predictability

Fleet uptime over features

Subscriptions reduce adoption friction

Data monetization offers low B2B margins

Fleet Subscriptions convert scooters from a product into a recurring- revenue platform.

SOLUTION 3

Data Utilisation and Monetisation Opportunities for Ather Energy

Personalised Ride Settings

Use riding behavior (acceleration, braking, speed consistency) to auto-tune throttle and braking for each rider.

Impact

Personalised throttle and braking improve safety and confidence, reduce wear and service costs, and boost long-term customer satisfaction.

Implementation

Use existing scooter sensor data to learn how each person rides and automatically adjust the scooter's ride behaviour through software updates.

Accurate Range Prediction

Predict range dynamically using rider history, terrain, traffic, and weather.

Impact

Realistic, behavior-based range predictions reduce anxiety, avoid unnecessary charging or service visits, and build lasting trust in range estimates.

Implementation

Use past riding behaviour and current battery usage together to show a more accurate and dependable remaining range in the app.

Battery Health Score

Show a simple battery health status with clear attention alerts.

Impact

Smart range prediction enables better trip planning, lowers operational friction, and reinforces confidence in the scooter's intelligence.

Implementation

Use existing battery data to calculate battery health in the cloud and display it in the app through a software update.

ATHER'S DATA STRATEGY: VALUE & MONETISATION

Personalised rider experience

Custom ride settings and insights improve satisfaction and retention, increasing lifetime value and adoption of paid software features.

Predictive maintenance

Early fault detection reduces warranty and service costs and enables paid proactive maintenance plans.

Subscription-based features

Advanced analytics, personalisation, and predictive insights are bundled into paid consumer and fleet subscriptions.

Fleet uptime guarantees

Real-time monitoring enables uptime-based SLAs, creating recurring, performance-linked revenue from fleets.

Partner-driven monetisation

Safety scores and usage data support insurance partnerships, loyalty rewards, and battery-related services with revenue sharing.

Low-cost execution

All features run on existing sensors and cloud systems, improving margins without additional capex.

Takeaway: Monetisation comes from subscriptions, SLAs, partnerships, and cost reduction—powered by existing data.

FINANCIAL & OPERATIONAL IMPACT

Service & warranty costs ↓

Fewer breakdowns and more planned, predictive servicing.

Recurring revenue & fleet utilisation ↑

Increased software subscriptions, fleet SLAs, and higher scooter uptime.



Customer lifetime value ↑

Higher retention, better NPS, and growing subscription adoption.

Margins & capital efficiency ↑

Improved profitability and working capital use without additional capex.

Challenges, Risk & Mitigations

Capital Intensity
- High R&D & Infra costs
- Long breakeven cycle

Market Behavior
- Price sensitive EV buyers
- Subsidy driven adoption

Competitive Pressure
- Features easily replicated
- Low switching cost

Need for Differentiation
- Hardware alone not enough
- Need ecosystem driven moat

Strategy	Product Mix & Capital Allocation	Geographic Expansion & B2B Fleet Strategy	Data Monetization & Smart Features
⚠ RISKS	• **Brand Dilution (CRITICAL)** • **Unit Economics Trap (HIGH)**	• **North India Execution (HIGH)** • **Fleet Cannibalization (CRITICAL)**	• **Regulatory Risk (CRITICAL)** • **Monetization ROI (MEDIUM)**
✓ MITIGATION	• **Premium Anchor -** Keep 450 series distinct (₹1.5L+ positioning); use Rizta as volume bridge only • **Gross Margin Gate -** Lock **28-30%** minimum (vs **22% today**) before scaling; non-negotiable criterion	• **Phased North Entry -** Start with corporate fleets (Delhi/Mumbai only); scale retail after 10K+ monthly volumes profitability • **Sub-Brand Strategy -** Launch **"Ather Fleet"** with opaque enterprise pricing (no public fleet lists); protect	• **Privacy-First Framework -** Opt-in consent (default off); anonymize data before partner sharing; NISM pre-clearance & breach insurance

IMPLEMENTATION ROADMAP

Phased plan for long- term growth and capital discipline (2026- 2029)

Phase		Ownership	Key Actions
Phase 1	**Stabilize & Focus** 0-6 months	Strategy, Finance, Operations	• Tight capex control. • Simplify product portfolio. • Deepen South India presence • Finalize fleet pilot partners.
Phase 2	**Fleet Pilot & Subscriptions** 6-18 months	B2B Sales, Operations, Product	• Launch fleet- only scooter variant • Roll out subscription model. • Plot with quick- commerce & logistics players. • Improve factory utilisation.
Phase 3	**Data Monetisation & Brand Separation**	Tech, Data, Partnership	• Fleet analytics dashboard. • Predictive maintenance & insurance partnerships • Separate fleet vs premium B2C branding.
Phase 4	**Selective Scale- Up** 30+ months	Growth, Strategy	• Expand fleets in North & Central India. • Retail expansion only in proven cities. • Scale data- led revenue streams.

Findings & Recommendations

Findings

Safety is a key Adoption Barrier for Women Riders

- Lack Confidence at low speed & Traffic stops
- Current EVs offerings do not address balance-related safety
- No strong gender focused safety differentiation in the market

High Cost of Innovation & Slow Scaling

- In-house R&D increases capital burdens
- Smaller players innovate faster but lack scale
- Limited ecosystem-led partnerships in EV space

Post- Purchase Experience Drives EV Trust

- Service availability strongly impacts buying decisions
- Tier2 & Tier3 cities face servicing gaps
- Poor service access increases churn & resale anxiety



Recommendations

Launch Balancing Feature as a Safety Moat

- Introduce AI-based balance & stability assist
- Position as a women- first safety innovation
- Market as a premium trust feature

Collaborate with Smaller EV & Mobility Brands

- Partner for components, software & charging infra
- Reduce capex via shared R&D
- Build ecosystem - driven differentiation

Expand Service Network Strategically

- Scale franchise-led service centers
- Deploy mobile servicing units
- Use predictive maintenance via app

Positions Ather as a Safety- first, ecosystem- driven EV brand with strong consumer trust

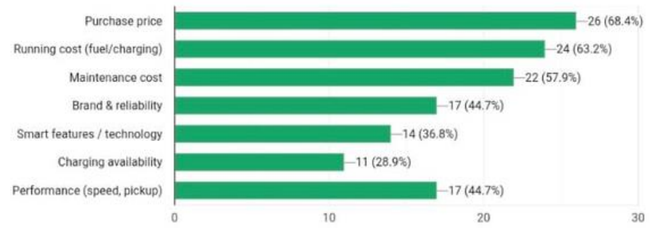
Customer Survey Responses – Snapshot

Section 1: Purchase Drivers & Barriers

Q3. What are the TOP 3 factors that influence your choice of a two-wheeler? (Select only 3)

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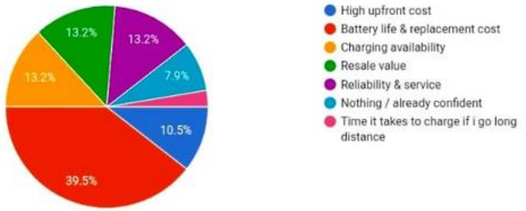
38 responses



Q4. What is your biggest concern about electric two-wheelers today?

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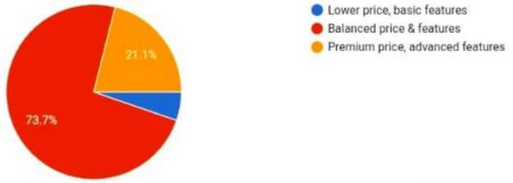
38 responses



Q5. Would you prefer a lower-priced EV with basic features or a premium EV with advanced features?

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38 responses

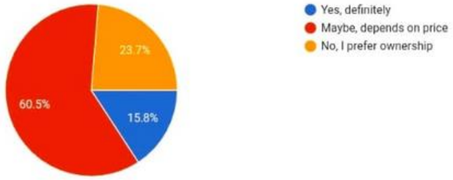


Section 2: Consumer vs Fleet Behaviour

Q6. If an EV was offered on a monthly subscription (vehicle + battery + service), would you consider it?

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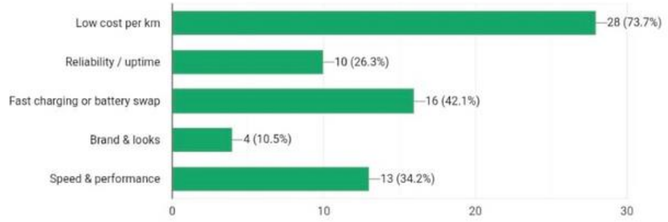
38 responses



Q7. If you are a delivery rider / gig worker: what matters MOST to you? (Check up to 2)

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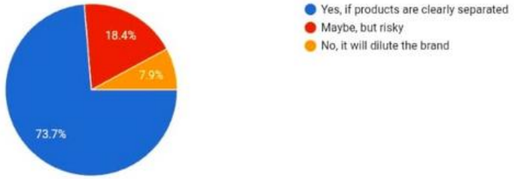
38 responses



Q8. Do you think a brand can sell premium EVs to consumers and basic EVs to fleets without hurting its image?

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38 responses

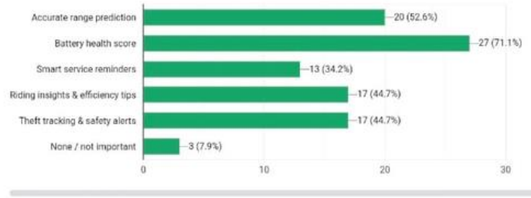


Section 3: Data, Software & Digital Features

Q9. Which digital features would you find MOST valuable in an EV app? (Check up to 3)

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38 responses



Q10. Would you pay extra for software features that improve battery life, range accuracy, and service predictability?

Copy chart

38 responses



Q11. How comfortable are you with your EV usage data being used (anonymously) to improve service or offer benefits like insurance discounts?
Rating scale 1–5
1 = Not comfortable
5 = Very comfortable

Copy chart

38 responses

